unimpaired Tier I capital will be raised to 100 per cent and that the borrowings mobilized under this provision can be swapped with the RBI at the option of the bank at a concessional rate of 100 basis points below the ongoing swap rate prevailing in the market.

The above schemes will be open up to 30 November 2013. The RBI reserves the right to close the scheme earlier with due notice.

FINANCIAL INFRASTRUCTURE

Finance thrives when financial infrastructure is strong. The RBI has been working hard to improve the financial infrastructure of the country – it has made tremendous advances, for example, in strengthening the payment and settlement systems in the country. Similarly, it has been working on improving information sharing through agencies such as credit bureaus and rating agencies. I propose to carry on such work, which will be extremely important to enhance the safety and speed of flows as well as the quality and quantity of lending in the country.

On the retail side, I particularly want to emphasize the use of the unique identity, Aadhaar, in building individual credit histories. This will be the foundation of a revolution in retail credit.

For micro, small and medium firms (MSMEs), we intend to facilitate Electronic Bill Factoring Exchanges, whereby MSME bills against large companies can be accepted electronically and auctioned so that MSMEs are paid promptly. This was a proposal in the report of my Committee on Financial Sector reforms in 2008, and I intend to see it carried out.

Finance is not just about lending, it is about recovering loans also. We have to improve the efficiency of the recovery system, especially at a time of economic uncertainty like the present. Recovery should be focused on efficiency and fairness – preserving the value of underlying valuable assets and jobs where possible, even while redeploying